

ABC BANK — PERSONAL AND BUSINESS LOAN POLICY

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SECTION 1 — PERSONAL LOANS

1.1 Eligibility Criteria

Minimum age: 21 years

Maximum age at loan maturity: 60 years for salaried, 65 years for self-employed

Minimum monthly income for salaried: Rs. 30,000

Minimum monthly income for self-employed: Rs. 50,000

Minimum employment tenure: 1 year with current employer

Credit score requirement: 600 and above

1.2 Loan Amount

Minimum loan amount: Rs. 50,000

Maximum loan amount for salaried: Rs. 3,000,000

Maximum loan amount for self-employed: Rs. 5,000,000

Maximum loan to income ratio: 50% of monthly income

1.3 Interest Rates

Salaried government employees: 18% per annum

Salaried private employees: 20% per annum

Self-employed professionals: 22% per annum

Self-employed businessmen: 24% per annum

Interest calculation method: reducing balance method

1.4 Tenure

Minimum tenure: 12 months

Maximum tenure: 60 months

Tenure options: 12, 18, 24, 36, 48, 60 months

1.5 Fees and Charges

Processing fee: 1% of loan amount, minimum Rs. 2,500

Documentation charges: Rs. 1,500 flat

Early repayment penalty: 2% of outstanding principal amount

Late payment penalty: Rs. 1,000 per month or 2% of overdue amount whichever is higher

Rescheduling fee: Rs. 5,000 flat

1.6 Required Documents for Salaried Applicants

Original CNIC copy

Latest 3 months salary slips

6 months bank statement

Employment letter from employer

Utility bill not older than 3 months

Passport size photograph

1.7 Required Documents for Self-Employed Applicants

Original CNIC copy

6 months bank statement
Business registration certificate or NTN certificate
Last 2 years tax returns
Utility bill not older than 3 months
Passport size photograph

1.8 Loan Disbursement

Disbursement time after approval: 3 to 5 working days
Disbursement method: direct credit to ABC Bank account
Applicant must have an active ABC Bank account for disbursement

SECTION 2 — BUSINESS LOANS

2.1 Eligibility Criteria

Business must be registered and operational for minimum 2 years
Minimum annual turnover: Rs. 2,000,000
Business owner minimum age: 25 years
Business owner maximum age: 65 years

2.2 Loan Amount

Minimum business loan amount: Rs. 500,000
Maximum business loan amount: Rs. 50,000,000
Loan amount based on business turnover and financial statements

2.3 Interest Rates

Small business loans up to Rs. 5,000,000: 22% per annum
Medium business loans up to Rs. 20,000,000: 20% per annum
Large business loans above Rs. 20,000,000: 18% per annum

2.4 Required Documents for Business Loans

Business registration certificate
NTN and tax returns last 2 years
6 months business bank statement
Audited financial statements last 2 years
Business owner CNIC
List of business assets
Property documents if collateral is offered

2.5 Collateral Policy

Loans above Rs. 5,000,000 require collateral
Acceptable collateral: property, commercial assets, fixed deposits
Property valuation done by bank approved valuator
Maximum loan to value ratio for property: 70%

SECTION 3 — LOAN REPAYMENT

3.1 Repayment Method

Monthly installments via standing instruction from ABC Bank account

Automatic debit on the 5th of every month
Manual payment accepted at any ABC Bank branch

3.2 Prepayment Policy

Partial prepayment allowed after 6 months from disbursement
Minimum prepayment amount: Rs. 10,000
Full prepayment allowed anytime with 2% penalty on outstanding amount
Penalty waived if loan tenure is more than 80% completed

3.3 Default Policy

Loan considered delinquent after 30 days of missed payment
After 60 days legal notice issued
After 90 days account reported to Credit Information Bureau
After 180 days legal proceedings initiated